BOARD MEMBER Q & A RE AVT OPERATING AGREEMENT

1. What are the significant components of the agreement?

The significant provisions of the Operating Agreement are:

- Articulating the PPS costs that AVT will reimburse to comply with Resolution 6861, which are:
  - Determination of PEC-replacement criteria;
  - Search for and identification of Relocation Sites;
  - Acquisition and improvement of the chosen Relocation Sites to meet Minimum Requirements and Desired Features associated with the chosen Relocation Sites;
  - Acquisition and/or moving of fixtures, furniture and equipment required for PPS's operations at the Relocation Site (and disposal of or recycling any FFE at PEC that is not moved to the Relocation Sites);
  - PPS move to Relocation Sites, including any temporary Relocation Sites that may be required;
  - Termination/buyout of Multnomah County for lease of PEC space within PEC; and
  - Any other actions required by this Agreement or mutually agreed as necessary to complete the disposition and acquisition of the PEC and Relocation Sites and PPS's improvement of and relocation to the Replacement Sites.
- Reaffirming that the series of transactions will be cost neutral to PPS.
- Addressing the cost of moving and/or replacing furniture, fixtures, and equipment.
- Commitment to work collaboratively and establishing milestones in the execution of Resolution 6861.
- Acknowledging the due diligence required for all of the potential real estate transactions.
- Establishing the process and timeline for AVT's reimbursement of PPS expenses.
- Agreeing to the establishment of a budget once relocation sites are identified.

AVT has already begun reimbursing PPS for expenses incurred in implementing Resolution 6861.

2. Section 2.02 and 2.03: who decides what falls into each of the "minimum requirements" and "desired features" categories? PPS establishes the minimum requirements, and those are approved by the Board. PPS also establishes the desired features.

3. Section 1.01 (7) Does staff expect there will be other costs than those not defined in the "complete relocation costs"? If yes, what are they and what funds will be used to pay them. Staff expects complete relocation costs based on minimum requirements to be exhaustive.

4, Section 1.03 in the "all in cost neutral" section it states that PPS shall incur no material out-of-pocket costs. Has PPS tracked staff hours spent to date on this project? No. It is often stated that staff is at capacity: to complete the transaction what is the total labor/staff hours component expected? It will be a significant number of hours expected, but that has not and, at this stage, cannot be reasonably quantified. Or, will PPS hire a project lead/team who will

manage most of the PPS work and it will be billed as part of the "all in costs"? Contracted vs. internal staffing has not been determined for all stages of the project. PPS is currently using some contracted resources and, in coordination with AVT, will continue to do so as needed and expects those costs to be billed to complete relocation costs.

5. Section 2.05. Does furnishing and fixtures and features include items like the covered truck bays, cold storage, the paint room, all the mechanical and operational equipment that is embedded in PEC and used in daily operations? FF&E is defined as items that are needed in everyday operations (desks, copiers etc.) but are not permanently affixed to the structure. Some mechanical equipment could be FF&E and some could be permanently affixed depending on the specific equipment.

6. Section 4.02 What is the contemplated due diligence or testing that is contemplated? PPS expects to conduct usual and customary due diligence on any commercial property transaction, including these. That includes, but is not limited to title review, environmental testing as required, assessment, zoning, surveys, system assessment, space planning, etc. Due diligence will be more specifically defined by any property identified as a potentially feasible relocation site.

7. Section 5.02. How much has PPS paid outside counsel to date from the start of this project, which would include the Concordia due diligence and work. $45,318 has been paid to outside counsel for this project to date. (Concordia property was not part of any work with AVT pursuant to Resolution 6861 or otherwise and predates the current work by several years.) Will contracted senior counsel hours be aggregated for this project? No. Will general funds be used to pay for that? Yes.

8. Section 6.02 Under any circumstances, would the superintendent or staff use 2020 or 2025 bond funds or bond-related funds (*e.g.*, premium or interest) to pay for any of the PPS expenses that aren't paid for by AVT. That is not how the project is contemplated or structured.

9. Section 7.02, given a project of this size and that the sum of multiple expenses under $250,000 that may reimbursed after PPS pays the bill, will AVT pay PPS interest for the time between PPS payments and reimbursement. No.

10. Section 8.05 Dispute resolution: will the board be notified if mediation or arbitration is needed or required? Yes. Given the mediation costs are shared equally between the parties, what funds would PPS use for its portion? General fund? Likely general fund (mediator costs are likely less than $10,000). In arbitration the non-prevailing party pays the prevailing parties attorney fees and costs. What funds would PPS use if it did not prevail in arbitration? General Fund. Is there any cap on that amount? No.

11. Are parking, or a central location, part of the "minimum requirements"? Yes, minimum requirements will include attributes related to location, transportation, and parking.